

U.S. gross national product (GNP) almost quintupled, rising 373 percent. The market, by contrast, went nowhere. The Dow Jones Industrial Average stood at 874.12 on December 31, 1964. Seventeen years later, on December 31, 1981, it stood at 875.00. In the following 17-year period, from 1981 to 1998, U.S. gross national product grew only 177 percent—less than half its growth over the preceding 17 years—but the Dow Jones Industrial Average advanced from 875.00 on December 31, 1981, to 9,181.43 on December 31, 1998, a tenfold increase.

Buffett attributed the apparently unusual behavior of the stock market to the relationship between two important variables: interest rates and valuation. “Interest rates,” wrote Buffett, “. . . act on financial valuations the way gravity acts on matter: The higher the rate, the greater the downward pull.”¹³

That's because the rates of return that investors need from any kind of investment are directly tied to the risk-free rate that they can earn from government securities. So if the government rate rises, the prices of all other investments must adjust downward, to a level that brings their expected rates of return into line. Conversely, if government interest rates fall, the move pushes the prices of all other investments upward. The basic proposition is this: What an investor should pay today for a dollar to be received tomorrow can only be determined by first looking at the risk-free interest rate.

Over the period from 1964 to 1981, the rates on long-term government bonds moved from just over 4.20 percent at the end of 1964 to more than 13.65 percent by late 1981. The more-than-threelfold increase in rates depressed the value of the stock market such that the country's extraordinary underlying business growth counted for naught. In the second 17-year period, interest rates fell from 13.65 percent in 1981 to 5.09 percent in 1998, and the stock market advanced more than tenfold.

Many professional investors, economists, and finance journalists assume that the economy—measured by the rate of growth in GNP or gross domestic product (GDP)—drives the rate of gain in the stock market. The quicker the pace of growth, the more favorable is the investment climate, and hence the bigger are the gains that investors should expect. Strong economic growth, goes the received wisdom, equates to strong returns; weak growth leads to low returns; and recessions lead to market crashes. To most people, this observation is so obvious as to be trite: The performance of the stock market is tethered to the performance of the underlying economy. But if this is in fact the case, how was it that, in the first 17-year period identified by Buffett, the stock market performed so poorly while the stock market's underlying businesses performed so well, and in the second 17-year period, the underlying